

Guesstimate 04: StyleHive Influencer Marketing Budget

Domain: Sales and Marketing

Problem Statement

StyleHive plans to launch a new skincare range targeted at Gen Z consumers using influencer marketing.

Question

Estimate the marketing budget required to reach one million unique Gen Z consumers through influencers over a two-month campaign.

Students May Consider

- Number of Influencers
- Average Reach per Influencer
- Engagement Rate
- Cost per Collaboration
- Posting Frequency

Concepts Tested

- Digital Marketing
- Media Planning
- Influencer Marketing
- Marketing ROI

What marketing budget is required to reach one million unique Gen Z consumers through influencers?

Assume each influencer reaches about 100,000 people per campaign.

Because followers overlap, assume only 80,000 of those are unique viewers.

To reach one million unique users, StyleHive requires approximately $1,000,000 \div 80,000 \approx 13$ influencers.

Rounding up, assume partnerships with 15 influencers.

Assume each collaboration costs ■1 lakh.

The influencer cost becomes approximately ■15 lakh.

Adding a 30% allowance for agency fees, content creation and contingency increases the budget to around ■19.5 lakh.

Therefore, the estimated campaign budget is approximately ■20 lakh.